

THE EQUITY EXPRESSION OF THE COPPER THESIS

The Metal That Two Banks Cannot Agree Exists

Copper climbed back toward its record in the last week of July, propelled by a Federal Reserve that sat still and a supply chain that will not. And yet the two most-quoted forecasts for the 2026 balance disagree not by a rounding error but by more than a million tonnes — one sees the largest deficit in two decades, the other a widening surplus. This edition argues the gap is not really a forecasting dispute. It is a bet on a chemical almost nobody outside the industry has heard of.

Method note: external figures carry inline attribution and as-of dates. Views drawn from the Heyokha Investment Wiki and its research providers are labelled as internal views, not verified forecasts.

Not a commodity trade. A permitting trade.

The instinct is to treat copper as a bet on global growth. That was true for thirty years. It is becoming something narrower: a bet on whether new mines can be approved, financed and built faster than electricity demand grows. The Wiki's framing is blunter still — copper is now "more counter-cyclical," because structural electrification demand increasingly overpowers the cyclical drag that once defined Dr. Copper.

Imagine a restaurant that keeps adding tables — an AI wing here, an EV section there, a whole new floor for grid upgrades. Demand is not the problem. The problem is that the only corridor into the kitchen was built in 1970, and widening it takes fifteen years of planning permission, a billion dollars and the consent of everyone living above it. That corridor is a copper mine. And this year a second problem appeared: the kitchen ran short of cooking gas. Roughly a fifth of the world's copper is not mined so much as dissolved — and the acid that does the dissolving has become the scarcest ingredient of all.

THE STORY IN 60 SECONDS

\$6.43

COMEX copper, per pound, 1 Aug 2026. On 30 July the September contract jumped 2.9% intraday to \$6.4930 after the Fed held — within ~2.5% of June's record. *metalcharts.org*; *MINING.COM*, 30 Jul 2026.

-\$66.40

Concentrate treatment charges per tonne, Q1 2026. Negative means smelters now *pay miners* to process ore — the market's clearest scarcity signal. *Discovery Alert*, Q1 2026.

125kt

Copper Goldman Sachs estimates is at risk from the sulfuric-acid shortage if disruption extends past June — enough, on the Wiki's reading, to halve Goldman's own modelled 2026 surplus. *Internal: Heyokha Wiki / 13D*, Apr 2026.

A rate decision, a rally, and a very old bottleneck

Nothing dramatic happened to copper last week. That is rather the point. The Federal Reserve left rates unchanged, industrial-metals traders exhaled, and copper for September delivery rose as much as 2.9% on Thursday 30 July to \$6.4930 a pound before settling around \$6.4515 — roughly \$14,224 a tonne on COMEX — according to MINING.COM. By Saturday 1 August the price had eased to \$6.43. The metal is up more than 14% year-to-date and sits within about 2.5% of the record it set in early June.

A 2.9% move on a central bank *not* doing something is a market that is leaning. The reason it is leaning has little to do with the Fed and much to do with a supply chain that has been breaking for three years — and which, this spring, acquired an entirely new failure mode.

1. Ore gets harder

Chile's output fell 9.04% y/y in March 2026 to 434,314 tonnes (Cochilco). The Wiki records average ore grades falling from 1.4% in 2010 to ~0.65% in 2024 — 154 tonnes of rock per tonne of copper, against 71 historically.



2. Smelters starve

Too many smelters chase too little concentrate. Treatment charges collapsed to ~\$66.40/t in Q1 2026. Per the Wiki, 14.3% of global smelting capacity was inactive as of January 2026 (Earth-i SAVANT).



3. Price does the rationing

With no fast supply response available, adjustment happens through price — or through demand destruction. Which arrives first is the entire investment question.

THE ESSENTIAL DISTINCTION

Copper is not scarce in the ground. There is a great deal of it. What is scarce is copper that has already cleared a fifteen-year gauntlet of permits, water rights, community consent, capital and political risk. Markets price the second kind.

THE DISAGREEMENT

Same year, same metal, opposite conclusions

Here is what makes copper unusually interesting right now. Three respected institutions have published 2026 balance forecasts. They do not merely differ in magnitude. They differ in *sign*.

–600kt

Morgan Stanley: refined deficit, described as the largest in more than 20 years

–150kt

ICSG: revised in May 2026 from a previously forecast +209kt surplus

+490kt

Goldman Sachs: surplus widening, 2026 average price cut to \$12,650/t

Reconciling these is not a matter of finding which analyst is careless. The deficit camp is looking at *mine* supply — concentrate, ore grades, Chilean disappointment, Grasberg at half capacity. The surplus camp is looking at *refined* demand and seeing something the bulls skate past: Chinese demand for refined copper is estimated to have fallen 8% year-on-year in the fourth quarter of 2025, per Goldman Sachs Research, with manufacturers' orders down 10% to 30% in electronics and appliance chains.

But there is a third factor, and it is the one the Heyokha Wiki puts at the centre of its April 2026 update.

THE INTERNAL VIEW

The sulfuric acid problem

Roughly 20% of global copper supply is produced not by crushing and smelting but by leaching — the SX-EW process, which dissolves copper out of low-grade ore using sulfuric acid. It is the dominant method in parts of Chile, Indonesia and the Democratic Republic of Congo. The DRC relies on it for around half its output.

Sulfuric acid is made from sulfur, and roughly half of seaborne sulfur originates from behind the Strait of Hormuz. The Iran War has disrupted that flow. On the Wiki's account, European spot acid prices reached roughly \$400 a tonne and DRC Kolwezi prices ran up to \$700, against a long-run forecast near \$150. China — itself a major exporter — banned sulfuric acid exports from 1 May 2026 to hoard sulfur for domestic agriculture, and shipped zero acid to Chile in March 2026. Chile imports 37% of its foreign acid from China.

This is the detail that dissolves the apparent contradiction between Morgan Stanley and Goldman. Goldman itself, per the Wiki, put up to 125,000 tonnes of copper at risk if the disruption ran past June — enough to cut its own modelled 2026 surplus roughly in half. The two houses are not really disagreeing about copper. They are implicitly disagreeing about how long a war disrupts a sulfur trade route.

A USEFUL MENTAL MODEL

When two credible forecasts diverge in sign, look for the conditional buried in each. Usually they are not arguing about the world. They are assigning different probabilities to one event — and that event, not the metal, is what you are actually buying.

THE DEMAND STORY, SIZED HONESTLY

The jaws that open in 2030

The most-repeated bullish claim of 2026 is that artificial intelligence will eat the copper market. The Wiki, drawing on a January 2026 S&P Global study, is notably cooler on this than the popular narrative — and the correction is worth absorbing, because it cuts against the easy story.



Internal view: Heyokha Wiki, citing S&P Global Energy & Market Intelligence (January 2026) — a ~10Mt shortfall by 2040 even assuming secondary supply adds 6Mt. Projections, not verified outcomes, and long-dated projections are the least reliable kind.

Critically, that same study attributes roughly 50% of the demand increase to electrification broadly — and only about 10% to AI and data centres. The Wiki draws the implication explicitly: a near-term hyperscaler capex slowdown would matter far less to copper than the headlines imply. Wood Mackenzie's December 2025 work, also carried in the Wiki, adds the point that copper represents less than 0.5% of a data-centre project's cost, which makes those buyers almost entirely price-inelastic — a small, stubborn bid rather than a large, fragile one.

Robert Friedland's framing, recorded in the Wiki's January 2026 entry, is the memorable version: to sustain 3% global GDP growth, the world must mine as much copper in the next eighteen years as in the previous ten thousand combined. A rhetorical figure rather than a forecast — but it captures the shape of the problem.

THE POLICY LAYER

What Washington and Beijing did to the plumbing

Copper price signals have become harder to read because two governments have bifurcated the market. Effective 6 April 2026, a 50% US Section 232 tariff applies to the full value of semi-finished copper products, with 25% on copper-intensive derivatives (10% where at least 95% of copper, steel and aluminium content is US-sourced). A follow-on proclamation issued 1 June 2026 refined scope and content rules, effective 8 June 2026 through 31 December 2027. *Refined* copper — cathode and wire rod — sat outside the initial action pending a Commerce review due 30 June 2026; that determination was still open at the time of writing.

On the other side, the Wiki records that in February 2026 the China Smelters Purchase Team — sixteen producers representing about 80% of national primary smelting capacity — agreed to cut utilisation by more than 10% for the year, potentially removing around 1Mt of concentrate demand. The Wiki reads this as a deliberate use of smelting dominance to push prices higher; that is an interpretation, not an established fact. Either way, an investor reading a single copper price may be reading a policy artefact rather than a scarcity signal.

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN PRACTICE	WHY IT CUTS BOTH WAYS
Acid, not ore, became the binding constraint	Hormuz disruption to sulfur; China's export ban from 1 May 2026; DRC acid to ~\$700/t vs a ~\$150 long-run forecast.	A genuine, fast-acting supply shock to ~20% of global output. But it is a <i>war</i> shock — it can reverse as quickly as it arrived, and pricing it as structural is a category error.
Treatment charges went negative	–\$66.40/t in Q1 2026; smelters pay miners for concentrate rather than earning a fee.	Unambiguous evidence of raw-material scarcity — but a prolonged squeeze closes smelting capacity, which reduces <i>refined</i> supply and can perversely soften concentrate demand.

Chile keeps missing	Output −9.04% y/y in March 2026; the 5.5–5.7Mt full-year target looks stretched.	Supports the deficit case. But a low base flatters future comparisons, and repeated misses are partly priced already.
Grasberg is half-shut	The world's second-largest copper mine runs near 50% of capacity after a fatal 2025 mudslide; Freeport guides full capacity to early 2028.	Removes meaningful tonnes for two more years. But it is a known, dated, scheduled recovery, so the market has had time to discount it.
China's refined demand softened	Estimated −8% y/y in Q4 2025; manufacturer orders down 10–30% in electronics and appliances (Goldman Sachs Research).	The strongest plank of the bear case. Yet the Wiki notes construction is now only ~30% of Chinese copper demand, with EVs, PV and appliances growing — a more diversified, less property-dependent bid than in past cycles.

BOTH SIDES, FAIRLY STATED

The argument in its strongest forms

The bull case

- **Supply cannot respond.** New mines take a decade-plus from discovery to production; the Wiki cites a 23-year average for mines started since 2019. No 2026 price signal changes 2028 tonnage.
- **Negative treatment charges are hard evidence.** Unlike forecasts, −\$66.40/t is an observed clearing price for concentrate access. Smelters do not pay for feedstock in an abundant world.
- **The acid shock is live and under-modelled.** Up to 125kt at risk on Goldman's own numbers, against ~20% of global supply produced via SX-EW.
- **New supply needs much higher prices.** The Wiki records BHP estimating ~\$23,000 per tonne of annual capacity to build new mines; Teck's Quebrada Blanca came in at \$29,000/t, Antofagasta's Centinela at \$30,000/t.
- **Substitution is weaker than advertised.** Aluminium has only ~60% of copper's conductivity, needing thicker wire and more insulation; the Wiki's January 2026 view calls copper "non-negotiable" in data centres.

The bear case

- **The largest consumer is shrinking.** Chinese refined demand estimated at −8% y/y in Q4 2025. China is roughly half the market; nothing else is large enough to offset a real downturn.
- **Goldman sees a surplus, not a deficit.** A 490kt surplus forecast and a 2026 average price cut to \$12,650/t from \$12,850/t — from a house with a strong base-metals record.
- **Substitution may be underestimated.** Goldman expects the copper-to-aluminium ratio to reach ~4.5:1 against a 3.8:1 recent average. At that spread engineers redesign — and this directly contradicts the Wiki's more sanguine view. Both cannot be right.
- **The acid shock is temporary.** A ceasefire, a re-opened route or Chinese policy reversal removes the most acute bullish input almost overnight.
- **Tariffs flatter the tape.** US stockpiling ahead of Section 232 pulled demand forward and inflated regional prices. Pulled-forward demand is borrowed demand.
- **Copper is still cyclical.** The "counter-cyclical" claim is a thesis, not a law. A genuine global recession has always broken it.
- **The internal view is single-source.** The Wiki's own contradictions note flags that only one provider sits in this theme's compilation window.

WHAT TO WATCH

The dashboard

Sulfuric acid spot prices	European and DRC spot acid retreating toward the ~\$150 long-run level would defuse the fastest-moving bullish input.	Ties directly to ~20% of global supply and to whether Goldman's surplus survives.
Treatment & refining charges	If they climb back toward zero, concentrate is loosening. If they stay deeply negative, the squeeze is real.	The cleanest real-time scarcity gauge, and hard to talk your way around.
Cochilco monthly Chilean output	Monthly production against the 5.5–5.7Mt annual target. Consecutive beats would undermine the deficit thesis quickly.	Chile is the largest single producer; its miss rate is the deficit case's foundation.
Chinese refined demand and inventory	Whether the –8% y/y Q4 2025 figure was a destocking trough or a level shift.	Roughly half of global consumption. Nothing else moves the balance as much.
The COMEX–LME spread	A wide, persistent US premium means tariff distortion. Convergence means a genuinely global price signal.	Distinguishes real scarcity from policy-created scarcity — the most common analytical error in copper this year.
Section 232 refined-copper decision	Whether duties extend to cathode and wire rod following the 30 June 2026 Commerce review.	Would redraw physical trade flows and inventory geography almost overnight.
COPX consolidation	13D's 26 July note flags the longest pause in the uptrend since the April 2025 rally, with relative strength versus SPY turning up from a back-test.	An internal technical view, not a fundamental one — but it is the Wiki's live marker for whether copper equities resume leadership.

THINKING ABOUT EXPRESSION

How to think about the menu

The metal itself

Futures or physically-backed vehicles give the purest exposure to the balance debate — no labour disputes, no capital allocation, no country risk. The trade-off is that you carry the full commodity drawdown with no earnings cushion and no dividend, and you are exposed to the tariff-distortion problem in whichever exchange you choose.

Producers

Miners embed operating leverage: a modest price move can drive a large earnings move against a largely fixed cost base. The trade-off is that you also own execution — grade decline, permitting, strikes, capex overruns and jurisdictional politics. Freeport's Grasberg experience shows how much of the return can be company-specific rather than commodity-specific.

Process exposure

The acid crisis creates a distinction that did not exist a year ago: sulfide miners using flotation are structurally insulated, while SX-EW leach operations are directly exposed. This is a real differentiator inside the sector, and one that a simple "copper miner" screen will not surface.

A STOCK-CARD GUIDE — REPRESENTATIVE NAMES, ILLUSTRATIVE ONLY. THESE ARE NOT RECOMMENDATIONS.

FCX

Freeport-McMoRan

NYSE
United States

The most-watched pure-play, and one of the four tickers on the Wiki's copper page. 2026 guidance of 3.1bn lbs copper sales at \$1.90/lb unit net cash costs; Q2 2026 adjusted net income \$1.1bn (\$0.74/share) on \$7bn revenue. Its defining variable is Grasberg, near 50% capacity after the 2025 mudslide with full capacity guided to early 2028 — a large tranche of potential earnings currently switched off.

WATCH NEXT

Quarterly Grasberg ramp updates against the early-2028 schedule; slippage is the biggest single swing factor.

TECK

Teck Resources

NYSE / TSX
Canada

The Wiki's longest-standing copper name — 13D profiled it in August 2022 as "a premier vehicle to invest in the coming copper shortage," on the strength of Quebrada Blanca Phase 2 in Chile coming online into a deficit. Also a useful cost benchmark: QB was built at roughly \$29,000 per tonne of annual capacity, illustrating why new supply needs sustained high prices.

WATCH NEXT

QB2 throughput against nameplate, and copper volume growth delivery.

BHP

BHP Group

NYSE / ASX
Diversified

The Wiki treats BHP as both instrument and signal: its August 2022 bid for OZ Minerals is framed as the moment the largest miner priced the structural deficit. BHP's own work, cited internally, projects demand above 50Mt by 2050 and warns the mid-2020s inventory buffer has evaporated. Diversified exposure means diluted copper beta.

WATCH NEXT

Copper division guidance and any revision to BHP's supply-growth forecasts.

SCCO

Southern Copper

NYSE
Peru / Mexico

A large, low-cost, long-reserve producer in Peru and Mexico, historically among the higher-margin operators and a consistent dividend payer. That profile has typically meant a premium rating to peers — both the attraction and the constraint, since much of the good news tends to be in the price already.

WATCH NEXT

Peruvian and Mexican permitting and community-relations developments on expansion projects.

EGO

Eldorado Gold

NYSE / TSX
Greece / Canada

Included because it is the Wiki's most distinctive current call — 13D described it in April 2026 as the "most compelling and least-appreciated copper growth story," ramping two greenfield copper mines in 2026 (Skouries in Greece, McIlvenna Bay in Canada) with more than 2.6bn lbs of copper reserves and 20-year initial mine lives. Both are sulfide-based, so structurally insulated from the acid crisis. This is an internal view and a development-stage risk profile.

WATCH NEXT

Skouries and McIlvenna Bay commissioning milestones against schedule and budget.

COPX

Global X Copper Miners ETF

NYSE Arca
Global basket

The Wiki's standing proxy for the theme and the subject of its most recent technical note (26 July 2026): the longest consolidation since the April 2025 rally, with relative strength versus SPY turning up from a back-test. A basket removes single-mine risk while retaining sector beta; the trade-off is dilution across producers and developers with materially different risk profiles.

WATCH NEXT

Whether the triangle consolidation resolves upward, and index rebalance drift between producers and developers.

The bottom line

Copper in August 2026 is a market where the supply evidence is observable and the demand evidence is contested. Negative treatment charges, a 9% Chilean production decline, a half-shut Grasberg and an acid market trading at four times its long-run price are facts. A 600,000-tonne deficit and a 490,000-tonne surplus are forecasts — and they cannot both be right.

The more useful reframing is that they are not really competing forecasts at all. Strip out the sulfuric-acid conditional and the two houses converge considerably. What an investor is being asked to underwrite is not a view on Chinese appliance orders but a view on how long a war disrupts a sulfur trade route — which is a very different question, and one on which nobody has an edge worth paying for.

Over a decade, the arithmetic of electrification against a fifteen-year mine-development pipeline is hard to argue with. Over the next four quarters, Chinese destocking, aluminium substitution and an unwinding of tariff-driven stockpiling could easily deliver a lower price than today's \$6.43. Those statements answer different questions — and the most common error in this theme is answering the ten-year question with a one-year position, or the reverse.

Editorial note. This Field Guide is journalism, not advice. It is written for a general reader and is deliberately balanced. Note that internal Heyokha Wiki views are directionally bullish on copper and have been for years; they are presented here as views with named provenance, not as verified forecasts, and the bear case has been given equal weight — including where it directly contradicts the Wiki, as on aluminium substitution. Every external figure carries an as-of date and a source; unverifiable numbers have been omitted rather than estimated, and long-dated projections are scenario illustrations, not predictions. The companies listed are illustrations of how the theme is expressed in listed equities — not recommendations, no position implied. Commodity equities are volatile and can lose substantial value. Nothing here is personalised investment advice; readers should consult a licensed adviser and do their own research before acting.

Sources and update notes

Internal (Heyokha Wiki): Theme page *Copper* (type: theme; status: active; last reviewed 24 Jun 2026; 7,123 words; tickers BHP, TECK, FCX, SCCO), accessed 3 Aug 2026 via the Heyokha Wiki MCP. Provider-attributed views above come from **13D Research** WILTW and WATMTU issues dated 18 Aug 2022, 7 Dec 2023, 1 Feb 2024, 21 Mar 2024, 11 Jul 2024, 11 & 18 Dec 2025, 15 Jan 2026, 19 Feb 2026, 30 Apr 2026 and 26 Jul 2026, which in turn cite S&P Global, Wood Mackenzie, J.P. Morgan, BHP, Teck, Sprott and Robert Friedland. The Wiki's own *Contradictions* section notes that only 13D sources sit in the compilation window for this theme — the internal view is single-provider and should be read as such.

External sources:

1. MINING.COM, "Copper price jumps on tightening supply, mining stocks rally" — September contract +2.9% intraday to \$6.4930/lb, \$6.4515 (\$14,224/t) late morning, +14% YTD, ~2.5% below the early-June record. As of 30 July 2026.
2. metalcharts.org, live COMEX copper quote — \$6.43/lb, -0.70% over 24 hours. As of 1 August 2026.
3. Crux Investor — Morgan Stanley 600kt refined deficit forecast for 2026, described as the largest in more than 20 years; J.P. Morgan 330kt deficit. As of 2026.
4. International Copper Study Group — 2026 balance revised from a +209kt surplus to a -150kt deficit. As of May 2026.
5. Goldman Sachs Research, via Investing.com and BigGo Finance — 2026 average price forecast cut to \$12,650/t from \$12,850/t; surplus widening to 490kt; Chinese refined demand -8% y/y in Q4 2025; manufacturer orders down 10–30%; copper-to-aluminium ratio expected to reach 4.5:1 vs 3.8:1. As of 2026.
6. Cochilco, via Discovery Alert — Chilean output -9.04% y/y in March 2026 to 434,314 tonnes; 2026 target of 5.5–5.7Mt called increasingly ambitious. As of Q1–Q2 2026.
7. Discovery Alert — Q1 2026 concentrate treatment charges of -\$66.40 per tonne. As of Q1 2026.
8. Freeport-McMoRan via TipRanks and StockTitan — 2026 guidance 3.1bn lbs at \$1.90/lb unit net cash costs; Q2 2026 adjusted net income \$1.1bn (\$0.74/share) on \$7bn revenue; Grasberg near 50% capacity, full capacity expected early 2028. As of Q2 2026.

9. Congress.gov CRS IN12614; White & Case; Crane Worldwide — Section 232: 50% tariff on semi-finished copper effective 6 Apr 2026; 25% on derivatives (10% at ≥95% US content); modifying proclamation 1 Jun 2026, effective 8 Jun 2026 to 31 Dec 2027; Commerce refined-copper review due 30 Jun 2026, determination pending. As of mid-2026.

10. International Energy Agency, *Electricity 2026* — data-centre electricity use projected to roughly double to 945 TWh by 2030; annual grid investment needing to rise ~50% from ~\$400bn. As of 2026.

11. CNBC — Federal Reserve left rates unchanged in the week to 31 July 2026. As of 31 July 2026.

Update notes: Sources 3, 4 and 5 are forecasts and will be revised; source 2 is a live quote, already stale on reading. The sulfuric-acid figures, S&P Global 2040 projections, CSPT smelting cut, capacity-cost benchmarks and Friedland quotation are internal Wiki content sourced to 13D, not independently verified against primary documents, and presented as attributed views. One search result reported a materially lower late-July copper price than sources 1 and 2; it could not be reconciled against a dated primary quote and has been excluded.

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